

1.5.5

External influences

The importance of external influences on business:

- possible responses by the business to changes in: technology, legislation, the economic climate.

Assessment information

- First assessment: May/June 2019.
- The assessment is 1 hour and 45 minutes.
- The assessment is out of 90 marks.
- Questions will relate to the content that appears in Theme 1 and students may draw on underpinning knowledge and understanding developed through Theme 2 as appropriate.
- The paper is divided into three sections.
 - Section A: 35 marks
 - Section B: 30 marks
 - Section C: 25 marks.
- Students must answer all questions.
- The paper will consist of calculations, multiple-choice, short-answer and extended-writing questions.
- The paper will include questions that target mathematics at a minimum of Key Stage 3 level.
- Questions in Sections B and C will be based on business contexts given in a Source Booklet.
- Calculators may be used in the examination. Information on the use of calculators during the examinations for this qualification can be found in *Appendix 4: Calculators*.

Synoptic assessment

The subject content has been organised into themes according to business contexts to ensure a holistic approach is adopted throughout the course of study. This develops students' understanding of the interdependent nature of business activity, business operations, finance, marketing and human resources as well as external influences within a business context. It also supports students in applying their knowledge and understanding of how these interdependencies underpin business decision making.

Both themes in the subject content represent this holistic approach through the application to different business contexts. This approach allows students to draw on knowledge and understanding from across their course of study as appropriate in any question on either paper. It also provides the basis for contextualised responses which is a key business skill.

Sample assessment materials

A sample paper and mark scheme for this paper can be found in the *Pearson Edexcel Level 1/Level 2 GCSE (9–1) in Business Sample Assessment Materials (SAMs)* document.

Command words and definitions of business terms that will be used in the examination paper can be found in *Appendix 1: Command word taxonomy and definitions of business terms*.

Theme 2: Building a business

Overview

Theme 2 examines how a business develops beyond the start-up phase. It focuses on the key business concepts, issues and decisions used to grow a business, with emphasis on aspects of marketing, operations, finance and human resources. Theme 2 also considers the impact of the wider world on the decisions a business makes as it grows.

In this theme, students will be introduced to national and global business contexts and will develop an understanding of how these contexts impact business behaviour and decisions. National contexts build on those in Theme 1 and relate to businesses operating in more than one location or across the UK. Global contexts relate to non-UK or transnational businesses.

Students must develop an understanding of the interdependent nature of business activity through interactions between business operations, finance, marketing and human resources, as well as the relationship between the business and the environment in which it operates. Students must understand how these functional areas influence business activity and how interdependencies and relationships between them underpin business decisions. Teaching approaches to the content must reflect this.

Content

Theme 2 comprises five topic areas.

- Topic 2.1 Growing the business – students are introduced to methods of growth and how and why business aims and objectives change as businesses evolve. The impact of globalisation and the ethical and environmental questions facing businesses are explored.
- Topic 2.2 Making marketing decisions – students will explore how each element of the marketing mix is managed and used to inform and make business decisions in a competitive marketplace.
- Topic 2.3 Making operational decisions – this topic focuses on meeting customer needs through the design, supply, quality and sales decisions a business makes.
- Topic 2.4 Making financial decisions – students will explore the tools a business has to support financial decision making, including ratio analysis and the use and limitation of a range of financial information.
- Topic 2.5 Making human resource decisions – growing a business means that decisions relating to organisational structure, recruitment, training and motivation need to be made to influence business activity. These aspects are considered in this final topic.

Quantitative Skills

Students must draw on their knowledge and understanding of Theme 2 topics to apply a range of quantitative skills relevant to business contexts. This includes calculations and the interpretation, use and limitation of quantitative and qualitative data in business contexts to support, inform and justify business decisions. These will be embedded within the examination for this qualification. Please see *Appendix 2: Quantitative Skills* for full details of quantitative skills and how they are applied within this qualification. Formulae for use in this qualification can be found in *Appendix 3: Formulae*. Formulae will not be provided in the examinations. Information on the use of calculators during the examinations for this qualification can be found in *Appendix 4: Calculators*.